

SECTION 2: MACROECONOMIC PROBLEMS

2.1 UNEMPLOYMENT

Multiple Choice Questions

1994/CE/II/37

Which of the following people would be classified as 'unemployed' in Hong Kong?

- A. Jack, aged 30, who has retired after winning the Mark Six
- B. Peter, aged 14, who cannot find a job after completing Form three
- C. John, who has quit his job and has gone on a trip to Europe
- D. Mary, who lost her job five weeks ago and has been looking for a new job for one month

1995/CE/II/37

Which of the following are the possible losses to society caused by unemployment?

- (1) loss of output
 - (2) a higher crime rate
 - (3) a greater expenditure in public assistance
 - (4) a reduction in the government's tax revenue
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1996/CE/II/33

David has quit his job for two months because he has been ill and is resting in bed. According to the Hong Kong government, he is

- A. unemployed.
- B. underemployed.
- C. employed.
- D. not in the labour force.

1997/CE/II/26

Study the following data about Hong Kong in a certain year:

	Number of Persons
Employed Population	2 931 000
Underemployed Population	33 000
Unemployed Population	69 000

The unemployment rate is

- A. 2.27%
- B. 2.30%
- C. 3.36%
- D. 3.40%

1997/CE/II/55

An increase in the number of Form 7 graduates studying in the universities will result in

- (1) a decrease in the present labour supply.
 - (2) a decrease in the present unemployment rate.
 - (3) an increase in future average labour productivity.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1998/CE/II/24

Which of the following are included in the calculation of the labour force of Hong Kong?

- (1) an employee with a foreign nationality working in a law firm in Hong Kong
 - (2) Mr Chan, who is unemployed and searching for a job
 - (3) Mr Wong, who works as a volunteer in a community centre after his retirement
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1998/CE/II/28

If some Hong Kong residents who emigrated return to Hong Kong to fill up some posts which have been vacant for a long time, then Hong Kong's labour force would ____ and here unemployment rate would ____.

- A. increase fall
- B. decrease fall
- C. increase rise
- D. decrease rise

1999/CE/II/32

Many imported workers who had stayed in Hong Kong several years working on the new airport project, have gone back to their home countries. What will be the effect of their departure on the unemployment rate in Hong Kong?

- A. The unemployment rate will increase.
- B. The unemployment rate will decrease.
- C. The unemployment rate will remain constant.
- D. The effect cannot be determined.

2002/CE/II/29

	Number of Persons
Population aged 15 or above	10 000 000
Employed population	6 800 000
Unemployed population	1 200 000
Underemployed population	800 000

According to the above table, which of the following statements is/are correct?

- (1) The labour force amounts to 8 000 000.
- (2) The underemployment rate is 10%.
- (3) The unemployment rate is 12%.

- A. (3) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

2002/CE/II/31

Which of the following are possible losses to a society caused by unemployment?

- (1) more government spending on public security due to a higher crime rate
- (2) more unemployment assistance given by the government
- (3) lower output level
- (4) lower cost of living

- A. (1) and (3) only
- B. (2) and (4) only
- C. (1), (2) and (3) only
- D. (2), (3) and (4) only

2003/CE/II/30

Study the following data about Hong Kong in the period of July 2002 to September 2002.

	Number of Persons
Employed Population	3 243 000
Underemployed Population	101 000
Unemployed Population	267 000

The unemployment rate in the period is

- A. 7.4%
- B. 7.6%
- C. 8.2%
- D. 10.2%

2004/CE/II/33

	Number of Persons
Employed population	18 400
Unemployed population	1 600

Now there are 1 000 additional job seekers in the economy. If 90% of them succeed in finding a job, the unemployment rate

- A. will increase.
- B. will decrease.
- C. will remain unchanged.
- D. may increase or decrease.

2005/CE/II/32

	Population
Aged 15 or above	10 000 000
Employed	6 800 000
Unemployed	1 200 000
Underemployed	1 600 000

According to the above data,

- A. the total labour force is 9 600 000.
- B. the underemployment rate is 20%.
- C. the unemployment rate is 12.5%.
- D. the unemployment rate is 16%.

2006/CE/II/30

Suppose the unemployed population of an economy is 500 000 while the unemployment rate is 5%. The employed population is

- A. 500 000
- B. 1 000 000
- C. 9 500 000
- D. 10 000 000

2007/CE/II/30

Unemployment is costly to society because

- A. the employed will pay more tax.
- B. the potential GDP will fall.
- C. the real output of the economy will fall.
- D. unemployment benefit is a burden to society.

2008/CE/II/30

Study the following figures of an economy.

	Number of Persons
Unemployed	20 000
Under-employed	60 000
Employed	480 000
Persons aged 15 or above	1 000 000

The unemployment rate of the economy is _____.

- A. 2.0%
- B. 3.7%
- C. 4.0%
- D. 4.17%

2009/CE/II/32

Labour force (persons)	600 000
Unemployment rate	10%
Underemployment rate	5%

According to the above information on an economy,

- A. the population aged 15 or above is 600 000.
- B. the employment rate is 85%.
- C. the employed population is 540 000.
- D. the number of unemployed takes up 10% of the population.

2010/CE/II/32

Below are the employment figures of a country.

	Number of Persons
Employment	18 000
Unemployment	2 000

Suppose there are new job seekers entering into the labour market after graduation but only 85% of them succeed in finding a job. The unemployment rate _____.

- A. will increase
- B. will decrease
- C. will remain unchanged
- D. may increase or decrease

2012/DSE/I/24

Many Hong Kong construction workers stay in Macau to work for several years. If they are attracted by the job opportunities offered by new infrastructure projects in Hong Kong and return to seek jobs, what will be the effect on the unemployment rate in Hong Kong?

- A. The unemployment rate will increase.
- B. The unemployment rate will decrease.
- C. The unemployment rate will remain unchanged.
- D. The effect on the unemployment rate cannot be determined.

2016/DSE/I/25

Which of the following will reduce the unemployment rate of a country?

- A. Some university graduates join the labour force.
- B. Some factories move to a neighbouring country with lower labour cost.
- C. Some unemployed workers give up seeking jobs.
- D. The government increases unemployment benefits.

2017/DSE/I/27

If some second-generation of Hong Kong permanent residents returned to Hong Kong to fill up the posts which have been vacant for a long time, Hong Kong's labour force would _____ and the unemployment rate would _____.

- A. rise remain unchanged
- B. rise fall
- C. fall remain unchanged
- D. fall fall

2019/DSE/I/24

The following table shows the data of an economy.

Population aged 15 or above	6 500 000
Labour force participation rate*	60%
Employed population	3 780 000
Underemployed population	100 000

*Labour force participation rate = proportion of labour force in population aged 15 or above

Based on the above data, the unemployment rate of the economy is _____.

- A. 1.85%
- B. 3.08%
- C. 3.38%
- D. 5.64%

2019/DSE/I/39

Which of the following results can be a negative number?

- A. gross investment *minus* net investment
- B. total exports *minus* re-exports
- C. money supply (M3) *minus* money supply (M2)
- D. employed population *minus* unemployed population

2020/DSE/I/24

The following table shows the employment data of Hong Kong from April to June in 2019.

	Number of persons ('000)
Population	7 524
Aged 15 or above	6 590
Employed persons	3 871
Unemployed persons	114
Underemployed persons	41

According to the above data, the underemployment rate is _____.

- A. 0.55%
- B. 0.62%
- C. 1.03%
- D. 1.06%

2021/DSE/I/25

Suppose the unemployment rate of an economy is 8%. Which of the following would increase the unemployment rate

- (1) 15% of the new graduates could not find jobs successfully.
 - (2) Some employers closed down their local businesses and migrated to other countries.
 - (3) Some of the part-time workers lost their job due to automation of production.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2022/DSE/I/27

Which of the following would be deducted from the GDP of Hong Kong to calculate the gross national income (GNI) of Hong Kong?

- A. the salary received by a Hong Kong professor who worked in a university in Japan on a permanent contract
- B. the dividend earned by a Filipino billionaire from his holding of shares of a Hong Kong company
- C. the salary received by an Indonesian domestic worker who worked for a Hong Kong family for two years
- D. the rental income earned from a residential property in the United Kingdom owned by a Hong Kong resident

2023/DSE/I/27

Study the following data of a country.

Year	2020	2021
Unemployed population (million)	176.9	175.4
Unemployment rate (%)	3.8	4.0

Which of the following best explains the above changes of the country from 2020 to 2021?

- A. More people look for jobs.
- B. More employed persons emigrate to other countries,
- C. The government raises the effective minimum wage rate.
- D. The government raises the amount of unemployment benefits.

2023/DSE/I/40

Which of the following would result in a rise in the price level of an economy and a fall in its employment level at the same time?

- A. The government reduces the profits tax rate.
- B. The economy's currency appreciates against the currencies of its trading partners.
- C. The government increases its spending on research and development.
- D. The prices of imported raw materials increase.

2024/DSE/I/26

Suppose the unemployment rate of an economy is 5%. Which of the following situations would lead to a decrease in the unemployment rate of the economy?

- (1) Foreign workers are imported to fill the vacancies in various industries.
 - (2) 96% of the new university graduates who enter the labour market are employed.
 - (3) Some underemployed workers work for more hours.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1994/CE/I/10(a)(i)

What losses to an economy are caused by unemployment? Give **TWO** of them.

(4 marks)

1995/CE/I/6

Every summer, many school leavers start to look for jobs and this affects the unemployment rate in September. Explain why the rate may increase or decrease.

(5 marks)

2000/CE/I/7

A certain government announces that the unemployment rate has dropped but the number of unemployed has increased. Explain why the number of unemployed can increase despite a fall in the unemployment rate.

(4 marks)

2003/CE/I/6

Suppose a number of civil servants retire under the government's voluntary retirement scheme. Explain whether this will increase the unemployment rate in Hong Kong.

(4 marks)

2004/CE/I/7

Give **TWO** losses to society caused by unemployment.

(4 marks)

2006/CE/I/9(c)

In the summer of last year, the growing business of many retail shops led to an increase in the employed population in Hong Kong. However, the unemployment rate during the same period of time remained unchanged.

Explain why the unemployment rate can still remain unchanged in spite of an increase in the employed population. (4 marks)

2007/CE/I/8(b)(i)

Suppose these top-quality Mainland students stay and work in Hong Kong after their graduation and the total number of job positions in Hong Kong remains unchanged.

Explain how this situation would affect the unemployment rate of Hong Kong.

(4 marks)

2012/DSE/II/6(a)

Rising unemployment is one of the phenomena which occurs during economic recession.

State **TWO** losses to society caused by unemployment.

(2 marks)

2013/DSE/II/11(b)(iii)

The government has launched the "Work Incentive Transport Subsidy Scheme", with the following objectives:

- (1) To relieve the burden of travelling expenses commuting to and from work on the part of low-income households with employed members
- (2) To promote sustained employment

Applicants must meet the monthly income and asset limits of the household (e.g. for a single person, the monthly income cannot exceed \$7 300 and the assets cannot exceed \$72 000) and work no less than 72 hours per month in order to apply for a subsidy of \$600 per month.

Discuss the effects of the scheme on the unemployment rate.

(3 marks)

2015/DSE/II/5

Macau has developed rapidly in recent years and some workers in Hong Kong have been attracted to work there. Suppose the number of job positions in Hong Kong is constant. What would be the effect of the above phenomenon on the unemployment rate in Hong Kong? Explain your answer. (4 marks)

2016/DSE/II/6

Below are the employment data of a country.

Employed population	3 800 000
Underemployed population	800 000
Unemployed population	200 000

- (a) Calculate the unemployment rate of the country. (2 marks)
- (b) Suggest **THREE** losses to the society caused by unemployment. (3 marks)

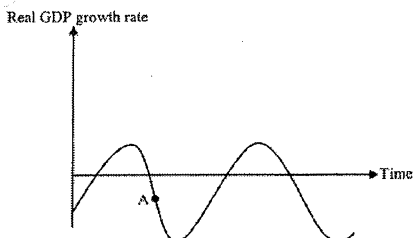
2018/DSE/II/5(b)

During peak flu seasons, there is not enough medical staff in public hospitals in Hong Kong.

In order to relieve the pressure of the medical staff, the government plans to recruit retired medical staff to re-join the public hospitals. Explain how the measure would affect the unemployment rate in Hong Kong. (4 marks)

2020/DSE/II/3

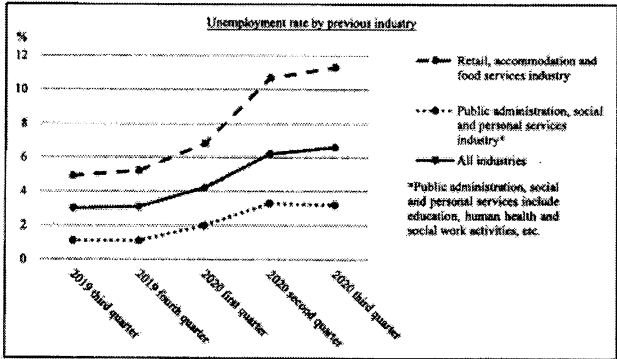
Below are the gross domestic product (GDP) data of a country.



- (a) Identify the phase of business cycle which point A is in. (1 mark)
- (b) Apart from increasing unemployment rate, list **TWO** general economic phenomena which occur at point A. (2 marks)
- (c) State **TWO** losses to society caused by unemployment. (2 marks)

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

	AlipayHK  AlipayHK	Octopus  八達通 Octopus	Tap & Go 	WeChat Pay HK  WeChat Pay®
Public Transportation with the above payment facilities installed	MTR, bus, mini bus and ferry	MTR bus, mini bus and ferry	Bus and mini bus	None
Promotions to consumption voucher users	5e-coupons	First 2 million registered customers enjoy \$18 of stored value	\$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50	e-coupons

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

A housewife 	I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!
A former chef in a restaurant 	I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.
A doctor working in a public hospital 	Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.

(a) Refer to Source A.

- (ii) Why did the unemployment rate of retail, accommodation and food services industry increase faster than that of public administration, social and personal services industry during the pandemic? (2 marks)

2023/DSE/II/6

Study the following statistical data of Hong Kong.

Year	Labour Force (thousand persons)
2020	3 918.5
2021	3 870.4

‘The above change in labour force necessarily implies a rise in the unemployment rate in 2021 in Hong Kong’. Do you agree? Explain your answer. (4 marks)

2024/DSE/II/12(b)

Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

Some football clubs in Saudi Arabia have established their own football academies to train young players.

- (b) Suppose some unemployed youngsters stopped seeking jobs and enrolled in the full-time training programmes of these football academies. Explain how the unemployment rate in Saudi Arabia would be affected. (4 marks)